

India: Policy bazooka for managing currency prudently leaves out policy rate

Capital flow measures are sizeable and should ease BOP pressures. We expect unchanged policy rates through the year.

- **An action-packed day:** The RBI left the policy rate on hold and retained its “neutral” stance, in line with our expectation. It also surprised positively by announcing a flurry of measures to attract capital flows, amid balance of payments pressures.
- **FX measures announced:** Policymakers have announced easing taxation on FPIs, lower barriers of market entry, quicker repatriation of export proceeds, and very importantly, the RBI will subsidise the hedging of increased ECBs by public sector companies, and for banks to attract offshore deposits through the FCNR(B) window. Of the ~USD70bn balance of payments deficit we projected for FY27, we see the FCNR(B) scheme garner around USD40bn (~1% of GDP) based on previous performance of such measures.
- **Neutral guidance despite worse macro outlook:** The RBI sharply raised its FY27 inflation forecast by 50bp to 5.1% and reduced its GDP growth forecast by 30bp to 6.6%. However, the MPC has avoided any hawkish reaction, be it on stance, or forward guidance, or its messaging on liquidity.
- **We see rates on hold:** By keeping policy rates on hold despite significantly raising the FY27 forecasts for inflation, we think the RBI has inadvertently set a high bar for any policy deviation. The RBI’s litmus test for tightening remains the generalisation of supply side inflation shocks, and we believe it will be wary of the collateral damage on weakening growth. Consequently, we retain our forecast that the RBI will remain on policy hold for the foreseeable future, including at the next meeting in August.
- **Rates strategy:** Retain OIS flatteners despite the neutral to dovish hold. We expect the front-end rates to remain elevated given the CPI path and currency risks. We continue to avoid bonds for now despite the reduction in taxes given the fiscal risks.

No rate defense of FX, non-monetary measures announced

Monetary policy decision

The RBI’s MPC voted unanimously to leave the policy rate on hold at 5.25% with a “neutral” policy stance, largely in line with our and the market’s expectations, although against the view of some in the market who expected the RBI to mount an interest rate defence of the weak currency. The RBI also retained its liquidity stance, stating that it will “ensure appropriate liquidity” to meet productive needs. Overall, this was a neutral hold.

Measures to deal with the external crisis

Very importantly, the RBI and the government simultaneously rolled out a number of measures to tame the widening balance of payments deficit, in line with our expectations (see [India: A policy toolkit to manage BOP pressures](#), 14 May 2026).

- **Lowering barriers for market entry:** The government expanded the list of “specified securities” by including all new issuances of 15-, 30- and 40-year tenor G-secs, and sovereign green bonds. Restrictions on short-term investment, limit, concentration limit, and security-wise limits will be relaxed.
- **Easier norms for individual investors:** The investment limits for “Non Resident Indians (NRI)” and “Overseas Citizenship of India (OCI)” in equity markets have been increased and the facility has been extended to allow for individual “Persons Resident Outside India (PROI).”
- **Tax benefits:** Investment by FPIs in G-secs will be exempted from income tax on any interest or capital gains to “ensure stable systematic inflow of durable, patient foreign

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capital and long-term investors.”

- **FX deposit mobilization (diaspora bonds):** Banks raising fresh 3-5 year FX deposits through the FCNR (B) window will receive RBI support for the entire hedging costs until 30 September. Governor Malhotra also mentioned that “dispensation” will be given to banks on mandatory reserve ratios, which means that banks will not need to allocate a fraction of these deposits as part of the Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) obligations.
- **Encourage more ECBs:** A facility of concessional FX swap will be provided to public sector companies to raise External Commercial Borrowing (ECBs) until 30 September.
- **Tighten norms on repatriation of export proceeds:** The time for realisation of export proceeds is also to be restored to 9 months from 15 months.

RBI sharply raises inflation forecast...

The CPI inflation forecast for FY27 has been revised to 5.1%, up 50bp from the April forecast of 4.6%. The new estimates pencil 4.7% in H1 (April-September) and 5.7% in H2 (October-March 2027), with as much as 70bp upward revision for most of the quarters. Core inflation forecast for FY27 has also been raised to 4.7% from 4.4% in April. Notably, despite the steep increase, the RBI maintained upside risks to these forecasts.

The upward revision is primarily reflecting the increase in retail petrol and diesel prices and the associated second round effects, the pass-through of higher input costs and uncertainty on monsoons, although adequate reservoir levels and food grain stocks can dampen some shocks.

...while downgrading growth outlook

The FY27 GDP growth forecast has been reduced by 30bp to 6.6%, averaging 6.5% in H1 and 6.7% in H2. Notably, the RBI has flagged downside risk to this outlook despite the downgrades, suggesting likelihood of lower growth outturns. The RBI attributed the downward revision to the impact of higher commodity costs, supply side disruptions, deficient monsoons and increased volatility in global markets.

Policy guidance

The MPC noted that despite its increase of inflation forecasts, “it would be prudent to wait for greater clarity to emerge” and that pressures are expected to wane from 2027 onwards. Also, the focus still remains on the “generalisation of inflation through second-round effects on expectations and wages”. The “neutral” policy stance has been linked to continued data dependence of the MPC. Further, Governor Malhotra stated that while the 4% inflation target is “sacrosanct” for the RBI, it is not keen to act on “each and every deviation.”

Nomura view: Rate hikes do not appear to be not imminent

Crisis time BOP measures should help

The policy bazooka on rupee rescue is designed to address the large balance of payments deficit triggered by the compression of the capital account surplus amid current account deficit pressures, which we estimated was tracking as high as ~USD70bn in FY27 prior to these measures. Most notable of the measures announced today has been the FX deposit mobilisation scheme through the FCNR (B) route – an option used by authorities during times of currency crises. It was most recently announced during the 2013 Taper Tantrum (see [India: A look at past foreign currency deposit mobilisation schemes](#), 6 May 2026).

Details of the scheme have not yet been published, but if the RBI fully bears the hedging costs of banks, it offers much cheaper fund-raising for banks that are currently starved of domestic deposits, while ensuring an attractive return for non-resident Indian depositors. This effectively hits two birds with one stone – on the one hand, it helps banks raise more deposits that are free from any reserve requirements, which can partially narrow their credit-deposit gap while injecting liquidity. On the other hand, a sizeable inflow of dollars by end-September could help urgently plug India’s BOP deficit.

The key question is the quantum of inflows we can expect through these measures. Back in 2013, the FCNR (B) scheme had generated around USD26bn or 1.4% of GDP, but this was at a time of lower interest rates and foreign banks offering leverage to depositors. However, judging by the record of similar interventions in 1998 and 2000, we believe the FNCR (B) scheme alone could potentially attract deposits worth ~1% of GDP, which places the amount at a sizeable ~USD40bn.

Our takeaways on the monetary policy decision

In our view, despite the significant upward revisions and the hawkish commentary on inflation, the policy still reads as a neutral hold. Even with the six-month ahead inflation forecast at near 6% levels (RBI's upper inflation tolerance bound), the MPC has refrained from any hawkish reaction: be it on policy stance, or forward guidance, or even the messaging on liquidity, which typically should be a leading indicator for the direction of policy rates. Instead, the RBI tried to temper expectations by flagging that inflationary pressures could ebb after December and that the litmus test for tightening remains the generalisation of supply side shocks – a guidance carried forward from the April policy meeting.

Do we agree with the RBI's macro outlook?

We broadly agree with the RBI's inflation view – we have been projecting 5.0% inflation in FY27, a tad below the RBI's revised forecast of 5.1%. That said, we expect quarterly inflation to peak at ~5.5% in the October-December quarter, below the RBI's forecast of 5.9%. The transmission of higher fuel and input costs to broader underlying core inflation, and the persistence of these pressures remains a big uncertainty. While El Niño/sub-normal rains is an upside risk for inflation, the relationship between rains and inflation has been patchy in the past (see *India: El Niño may not scorch the economy*, 19 May 2026).

On GDP growth, we lower our growth outlook for FY27 to 6.6% y-o-y, in line with the RBI's estimate. Note that GDP data for Q4 FY26 (January-March), released separately today after the policy meeting was yet another positive surprise, registering a strong 7.8% growth from 8.0% in the prior quarter, above market expectations (Consensus: 7.3%, Nomura: 7.4%), although sequential momentum eased to 1.5% q-o-q (sa) from 1.8% previously by our estimate. There was broad-based strength across most categories despite the supply side shocks in March from the Iran war (Figure 2).

So far, growth resilience reflects a mix of unscathed domestic demand, continued public capex growth, relatively muted impact on trade and a tight control of fuel prices and availability during the early months of the crisis. That said, we broadly agree with the risks that the RBI has flagged including the drag from higher prices and possible rural growth slowdown if the climatic conditions overly worsen.

What will the RBI do next?

The arsenal of FX measures should help calm the market's concern of the RBI mounting an interest rate defence of the currency. Instead, today's policy hold reinforces our view that the RBI is an orthodox flexible inflation targeting central bank.

By raising the FY27 forecasts for inflation and reducing the forecast for GDP growth, the RBI has inadvertently set a high bar for any policy deviation. After all, we think a policy hold when FY27 inflation is already projected at 5.1% effectively means that inflation needs to trend much higher to trigger any policy tightening. In addition, the significant downgrade in growth forecasts signals that the RBI is wary of damaging growth by hiking too soon. We agree with this assessment, since there are rising risks that the supply-side shock could morph into a sharper demand-side slowdown. Consequently, we retain our forecast that the RBI will remain on policy hold for the foreseeable future.

Fig. 1: RBI versus Nomura macro forecasts

RBI vs Nomura macro forecasts								
	GDP (% y-o-y)				CPI (% y-o-y)			
	RBI	RBI	Change	Nomura	RBI	RBI	Change	Nomura
	Jun-26	Apr-26			Jun-26	Apr-26		
Q1 FY27	6.6	6.8	-0.2	7.2	4.2	4.0	0.2	4.1
Q2 FY27	6.3	6.7	-0.4	6.2	5.1	4.4	0.7	4.9
Q3 FY27	6.5	7.0	-0.5	6.4	5.9	5.2	0.7	5.5
Q4 FY27	6.8	7.2	-0.4	6.9	5.4	4.7	0.7	5.4
FY27	6.6	6.9	-0.3	6.6	5.1	4.6	0.5	5.0

Source: RBI, CEIC and Nomura Global Economics

Fig. 2: Quarterly GDP/GVA growth

% y-o-y	Q1-25	Q2-25	Q3-25	Q4-25	Q1-26
Real GDP (market prices)	7.0	6.8	8.3	8.0	7.8
Private consumption	5.6	8.7	7.2	8.2	7.1
Government spending	3.6	5.8	6.6	4.6	4.9
Fixed Investment	6.2	4.9	8.4	8.2	10.8
Exports	5.4	6.6	9.7	5.8	3.7
Imports	5.5	7.0	6.0	7.2	1.9
Change in stocks	(5.8)	5.7	11.0	14.7	10.3
Valuables	(32.9)	(28.9)	(28.4)	(2.8)	41.3
Discrepancies	(134.1)	14.0	48.6	47.9	(172.9)
Real GVA (basic prices)	7.1	7.1	8.6	8.0	7.9
Agriculture	3.8	4.4	2.7	1.7	3.6
<i>Industry</i>	<i>10.8</i>	<i>7.9</i>	<i>11.0</i>	<i>10.7</i>	<i>6.8</i>
Mining	12.9	4.5	6.1	4.7	5.4
Manufacturing	11.8	10.4	12.7	12.8	7.3
Utilities	2.1	(2.0)	3.6	1.5	4.1
<i>Services</i>	<i>7.0</i>	<i>7.6</i>	<i>9.2</i>	<i>9.4</i>	<i>9.7</i>
Construction	8.0	5.3	8.9	6.7	8.4
Trade, Hotels, Transport, Comms.	6.3	9.7	10.5	11.2	12.5
Finance, Real Estate & Prof. Service	8.8	9.2	10.3	11.6	10.4
Public Administration	3.2	4.0	5.4	4.9	5.8

Source: CEIC and Nomura Global Economics

Rates strategy

India rates moved lower following the meeting today with the OIS curve 5-8bp in a steepening measure, though this is largely on account of the 15bp or so that was priced for today's meeting. If we look at the mid-2027 pricing, this has only come off by around 5bp following the meeting today. This suggests the market remain concerned around the rising CPI and the currency pressure. We expect the beta to USDINR for the 1y part of the curve will now increase

Additionally, the GOI has removed both the WHT and the CGT on government bonds for the foreign investors, though we do not believe this will have a material impact on flows or yields given the main concern from FPI investors has been the currency. We will need to see a material reduction in the hedging costs so that FPI investors can negate the currency risks. They have also increased the FAR bucket adding back the 15y.30y and 40y bonds alongside widening the now FAR limits for FPI investments. Though again, these limits were not binding, so we don't expect material flows.

In terms of strategy, we have been some flatteners in the NDOIS curve, we shift from Sep-IMM 1s5s to Sep-IMM 2s5s given the negative carry of the position and better valuations. We retain a small extra pay in the front end leg by keeping the DV01 of the flattener at 1.5:1. We do not expect any material reduction in the policy pricing given CPI path and currency weakness. In addition, we expect fiscal risks to remain elevated, which will likely push India rates higher.

Appendix A-1

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